

5 Strand

in the City of Westminster

planning application no. 16/10951/FULL

Strategic planning application stage 1 referral

Town & Country Planning Act 1990 (as amended); Greater London Authority Acts 1999 and 2007; Town & Country Planning (Mayor of London) Order 2008.

The proposal

Demolition of existing building and construction of replacement mixed use building, comprising retail (Class A1), restaurant (Class A3), office (Class B1) and residential (Class C3) floorspace across two basements, lower ground and ground floors and 11 upper floors, public realm works and associated alterations.

The applicant

The applicant is **BNP Paribas Securities Services Trust Company (Alchemi Group)**, the planning agent is **Gerald Eve** and the architect is **Adjaye Associates**.

Strategic issues summary:

Land use: mixed use, office led development is supported in the CAZ. (paragraphs 13-14)

Housing: 26 private market units proposed. £1.04 million contribution to off-site affordable housing offered, which falls significantly short of Council policy and the Mayor's draft SPG threshold, and should be increased. (paragraphs 15-20)

Design and heritage: high quality design and architectural treatment is strongly supported and there would be no harm to the setting of heritage assets. (paragraphs 21-28)

Transport: contributions of £80,000 towards cycle hire docking stations and £30,000 towards bus stop upgrades are sought, along with improved facilities for cyclists. (paragraphs 31-35)

Recommendation

That the City of Westminster be advised that whilst the application is broadly supported in strategic planning terms it does not fully comply with London Plan for the reasons set out in paragraph 41 of this report. However, the resolution of those issues could lead to the application becoming compliant with the London Plan.

Context

1 On 13 January 2017 the Mayor of London received documents from the City of Westminster notifying him of a planning application of potential strategic importance to develop the above site for the above uses. Under the provisions of The Town & Country Planning (Mayor of London) Order 2008 the Mayor has until 23 February 2017 to provide the Council with a statement setting out whether he considers that the application complies with the London Plan, and his reasons for taking that view. The Mayor may also provide other comments. This report sets out information for the Mayor's use in deciding what decision to make.

2 The application is referable under Category 1C of the Schedule to the Order 2008:

Category 1C: *"Development which comprises or includes the erection of a building more than 30 metres high and outside the City of London."*

3 Once the City of Westminster has resolved to determine the application, it is required to refer it back to the Mayor for his decision as to whether to direct refusal; take it over for his own determination; or allow the Council to determine it itself, unless otherwise directed.

4 The Mayor of London's statement on this case will be made available on the GLA website www.london.gov.uk.

Site description

5 The application site occupies a plot on the southern side of the Strand, close to its junction with Trafalgar Square, and is approximately 1,200sq.m. in area. The plot is almost entirely occupied by an existing 6-9 storey building in office and retail use, built in the 1980s.

6 The building is detached from its neighbours by two side streets running south east linking the Strand to Northumberland Avenue: Craven Street and the narrower Northumberland Street. These streets are lined with a mixture of building periods and styles, including terraces of 5-storey Grade II listed Georgian townhouses (in commercial and residential use). Adjacent to the site to the south west along the Strand is the Grand Buildings – a corner building fronting on to Trafalgar Square, which was rebuilt to replicate the previous building with its French pavilion style roof. To the north east is an 8 storey office building with a similar design/period as the application premises. Further north-east is Charing Cross Station. Opposite the site is the Grade II* listed South Africa House.

7 The site is within the Central Activities Zone (CAZ) and is within the Trafalgar Square Conservation Area. It has the highest level of public transport accessibility (PTAL) of 6b, being adjacent to Charing Cross main rail terminal and London Underground (LU) station and within walking distance of Leicester Square and Embankment LU stations. There are also 23 bus routes serving the Strand or close by. The site is accessible to nearby cycle routes; including the East West Cycle Superhighway which is located on Victoria Embankment (some 300 metres away) and the Covent Garden to Russell Square cycle route which forms part of the Central London Cycle Grid (some 700 metres away). Further works are programmed as part of the Central London Grid which will improve cycling accessibility locally. The nearest cycle hire docking station is immediately adjacent to the site on Craven Street.

Details of the proposal

8 It is proposed to demolish the existing building and redevelop the site to provide a replacement building up to 12 storeys in height comprising 8,506sq.m. of office floorspace, 26 residential units and retail/restaurant uses on the ground floor.

Case history

9 In September 2016 a pre-application meeting was held with GLA officers and a report was issued on 6 October 2016 (ref: D&P/3981/pre-application). The applicant was advised that the land use principles were supported, provided that the scheme made a proportionate contribution towards affordable housing. The height and massing of the building was broadly supported, although some design modifications were requested.

Strategic planning issues and relevant policies and guidance

10 The relevant issues and corresponding policies are as follows:

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|-----------------------------|--|
| • Land use principles | <i>London Plan; Central Activities Zone SPG;</i> |
| • Housing | <i>London Plan; Housing Supplementary Planning Guidance (SPG); Housing Strategy; Shaping Neighbourhoods: Play and Informal Recreation SPG; Shaping Neighbourhoods: Character and Context SPG; London Housing Design Guide;</i> |
| • Affordable Housing | <i>London Plan; Housing SPG; Housing Strategy, draft Affordable Housing and Viability SPG;</i> |
| • Urban design and Heritage | <i>London Plan; Shaping Neighbourhoods: Character and Context, SPG; Housing SPG; London Housing Design Guide; Shaping Neighbourhoods: Play and Informal Recreation SPG; London View Management Framework SPG;</i> |
| • Access | <i>London Plan; Shaping Neighbourhoods: Accessible London: Achieving an Inclusive Environment SPG;</i> |
| • Sustainable development | <i>London Plan; Sustainable Design and Construction SPG; Mayor's Climate Change Adaptation Strategy; Mayor's Climate Change Mitigation and Energy Strategy; Mayor's Water Strategy;</i> |
| • Transport | <i>London Plan; the Mayor's Transport Strategy;</i> |
| • Crossrail | <i>London Plan; Mayoral Community Infrastructure Levy; Crossrail SPG</i> |

11 For the purposes of Section 38(6) of the Planning and Compulsory Purchase Act 2004, the development plan in force for the area is the Westminster City Plan (2016), the Westminster Unitary Development Plan (saved policies, 2010), and the 2016 London Plan (Consolidated with Alterations since 2011).

12 The following are also relevant material considerations:

- The Central Activities Zone SPG (2016).
- The National Planning Policy Framework and Technical Guide to the National Planning Policy Framework.
- National Planning Policy Guidance.

Principle of development and mix of uses

13 The site is located in the Central Activities Zone (CAZ). London Plan policies 2.10 and 4.2 seek to ensure that schemes meet the distinct needs of the central London office market, and improve the quality and flexibility of office stock. Policy 2.11 seeks to ensure that development proposals to increase office floorspace within CAZ include a mix of uses including housing, unless such a mix would demonstrably conflict with other policies in the London Plan.

14 In this case, the new building would provide replacement office floorspace as well as residential and retail uses. The proposals would result in an uplift of office floorspace from 8,378sq.m. (GEA) to 8,506sq.m, along with the introduction of residential accommodation. The mix of proposed uses in the CAZ is in accordance with strategic policy and is therefore supported.

Housing

15 The proposals will provide 26 residential units with the mix set out in the below table.

	1 bed	2 bed	3 bed	4 bed	total
market sale	6	7	10	3	26

Affordable housing

16 London Plan Policy 3.11 requires local planning authorities to seek the maximum amount of affordable housing in schemes delivering ten or more units. The Mayor's draft Affordable Housing and Viability SPG establishes a threshold approach to viability, whereby if a scheme is delivering 35% affordable housing, without public subsidy and in line with the Mayor's preferred tenure mix, then a viability assessment will not be required.

17 Westminster City Council's Policy S16 on affordable housing states that the Council will aim to exceed 30% of new homes as affordable, and expects all residential developments capable of achieving 10 units or more, or over 1,000 sq.m. of additional floorspace, to provide a proportion of the floorspace as affordable housing. An interim guidance note on affordable housing policy published by the Council in November 2013 (and updated April 2015) sets the affordable housing floorspace requirement for sites within the Core CAZ and over 2,500sq.m. at 25%. In accordance with the interim guidance note, applicants must seek to provide the required affordable housing on site wherever possible. If it can be robustly demonstrated that on-site affordable housing provision is not feasible, then off-site provision could be acceptable. A payment in lieu should be provided only as a last resort, where it can be demonstrated that neither on-site nor off-site provision is feasible or practical.

18 The applicant is not proposing to provide affordable housing on site or off-site. GLA officers recognise that on-site provision would be challenging in this scheme and that off-site provision in the vicinity is heavily constrained. Consequently, the applicant is proposing a £1.04 million payment in lieu. Westminster City Council's guidance would require a payment in lieu of approximately £6,700,000, based on a requirement for this site to deliver 25% affordable housing. If the draft SPG threshold of 35% is used, this increases to approximately £11,200,000.

19 The applicant has provided a viability assessment which concludes that the redevelopment proposals cannot support any contribution towards affordable housing. This is due to a number of factors, notably the high existing use value arising from the strong rental income of the existing

office building and complicated basement construction due to the presence of London Underground tunnels beneath the site. However, the applicant is approaching this project as a long term investment and is proposing to make a payment in lieu of £1.04 million. GLA officers will robustly interrogate the applicant's viability assessment in conjunction with Council officers and their viability consultants. This figure is considered to be low in the context of a scheme that is likely to generate significant returns for the applicant in the medium to long term. The affordable housing contribution should therefore be increased to better accord with the requirements of Westminster City Council's guidance, and the in the context of the Mayor's draft SPG.

Residential quality

20 London Plan Policy 3.5 promotes quality in new housing provision, with further guidance provided by the Mayor's Housing SPG. All the units would meet or exceed national space standards and would benefit from good outlook and access to daylight and sunlight due to their siting at the top of the building. Whilst 18 units would not have external amenity space, there will be a compensatory increase in the proposed living spaces which is acceptable, given the central location. Whilst it would deliver benefits to residential quality if the residential floors were served by two cores, it is recognised that this would constrain the office layouts below. Overall, the residential accommodation is well designed, with the number of dual aspect units maximised and only two north-facing single aspect units, and the residential quality of the scheme is acceptable.

Urban design and heritage

Layout

21 The existing public realm surrounding the building suffers from dead frontages and localised flooding issues which lends a run-down appearance to the site, unbecoming of its important location. The new building would improve the pedestrian realm on the Strand by removing the columns and stairwell which protrude on to the pavement. Instead, the building would cantilever over the pavement, allowing clear views through to the galleried walkway beneath the Grand Buildings. This is welcomed as an improvement to this important thoroughfare.

22 The scheme would also improve the pedestrian environment on Craven Street and Northumberland Street, which is currently compromised by the dead frontages on the flank elevations of the existing building. The main office entrance will be from the Northumberland Street frontage, whilst the two retail units would have entrances from Craven Street, along with the residential entrance. This would significantly improve the amount of activity to the surrounding streets. Whilst there would be a preference for additional commercial frontage to be included at lower ground floor level, the servicing requirements and the constraints to basement excavation on this site are acknowledged. The Council should however impose a condition to ensure that ground floor windows are not obscured by retail advertising, to ensure that the level of active frontage is maximised.

Heritage impact - scale, massing and appearance

23 The site is in a prominent position close to Trafalgar Square. It sits close to historic buildings including several Grade I, II* and II listed buildings, and is within the Trafalgar Square Conservation Area. There is no in principle objection to the redevelopment of the existing building. However, the new development must take account of the setting of heritage assets, and it must preserve or enhance the character and appearance of the conservation area.

24 There would be an increase in scale as a result of the redevelopment proposal. The applicant's Townscape, Built Heritage and Visual Assessment (TBHVA) includes a comprehensive set of verified local views. These views demonstrate that the building would be visible above the silhouette of buildings in some views, notably the listed buildings around Horse Guards Palace, the church of St Martin-in-the-Fields and Admiralty Arch in longer views from The Mall (including Westminster Metropolitan View 7). There would however be no harm to the setting of these heritage assets, given the modest projection into the skyline above these buildings, which would be consistent with other visible large scale buildings in this dense urban context. The rear flank wall of the building would also be more prominent in short range views from Craven Street and Northumberland Street. However, owing to the level of enclosure of these streets, these would be oblique, glimpsed views that would not harm the setting of this part of Trafalgar Square Conservation Area.

25 In views out of Trafalgar Square (including Westminster Metropolitan View 32), the scheme would be more prominent than the existing building, but would be in keeping with the overall scale of surrounding development and the darker material palette of the upper floors would complement the predominantly dark tiled roofscape of the existing context. The introduction of a more regular building line and more pronounced horizontal and vertical emphasis arising from the projecting floors and pillar features would enhance the appearance of the Conservation Area in oblique views along The Strand. In closer views, the arched windows would complement adjacent buildings and the public realm improvements would reduce clutter and enhance the ground floor setting of the Grand Buildings and its colonnade.

26 Having regard to the statutory tests for dealing with heritage assets set out in the Planning (Listed Buildings and Conservation Areas) Act 1990 and the guidance in the NPPF, GLA officers consider that the proposal preserves the setting of nearby listed buildings and the character and appearance of Trafalgar Square Conservation Area and Registered Park and Garden. As such there would be no harm to heritage assets as a result of the proposal.

27 The quality of architectural treatment as evidenced in the application documents is high. Given the heritage context noted above and the importance of the building's location, it will be crucial that this is carried through into the completed development and the Council should therefore impose conditions to ensure that high quality materials and construction detailing are secured.

Strategic views

28 As shown in the applicant's TBHVA, the proposed building would be visible within LVMF View 21b (Jubilee Gardens opposite Whitehall Court). A corner of the proposed roof would appear to the right of the Corinthia Hotel, but the impact on the view would be negligible and would not affect Whitehall Court which would remain the dominant feature in this view. There would therefore be no detrimental impact on this view, or any of the other strategic views identified in the Mayor's LVMF SPG.

Inclusive design

29 The applicant's design and access statement addresses key points regarding inclusive access within development, including the building entrances and circulation spaces. Level entrances will be provided from street level and throughout the building. The Council should impose a condition to ensure that all apartments meet M4(2) standards and 10% (3 units) meet M4(3) standards, as accessible or adaptable for wheelchair users. As discussed in the transport section, there is the potential to provide Blue Badge parking spaces off site, which is appropriate given the car free nature of the scheme. This should be explored further and secured through the S106 agreement.

Climate change

30 The applicant has submitted an energy assessment in support of the application. This demonstrates that the proposals will achieve an overall carbon saving of 36% above a 2013 Building Regulations compliant development for the commercial element and 12% for the residential. The carbon dioxide savings meet the target set within Policy 5.2 of the London Plan for the commercial element, but not for the residential, although it is accepted that there is little scope for further on site savings. The Council should condition the implementation of the energy strategy and ensure that the shortfall in carbon dioxide reductions for the residential element is met off site. The applicant has provided a commitment to ensuring the development is designed to allow future connection to a district heating network, should connection to the Whitehall network be possible. This should also be a condition of planning approval. The proposals comply with London Plan policy regarding climate change.

Transport

31 No on site parking is proposed which is supported given the excellent PTAL. However, the applicant proposes that 5 parking spaces will be available to occupiers in a nearby car park. This parking should be prioritised for Blue Badge holders only.

32 The applicant is proposing the resurfacing of Craven Street and Northumberland Street which will improve the public realm generally for pedestrians and cyclists, which is welcomed, and should be secured as part of any consent.

33 For the development to comply with minimum London Plan standards a total of 171 cycle parking spaces (long stay and short stay provision) are required. The applicant should amend the proposals to include cyclist changing facilities adjacent to cycle parking. The cycle parking and facilities should be secured by condition by the Council.

34 The development is expected to generate substantial demand for cycle hire and in the context of existing pressures a site specific S106 contribution of £80,000 should be secured to extend the Craven Street docking station. Furthermore, £30,000 should be secured to upgrade three bus shelters immediately adjacent to the site to ensure suitable provision for bus passengers generated by this car free scheme.

35 The submission of a travel plan, delivery and servicing plan and construction logistics plan should be secured by the Council via condition or S106 agreement.

Community Infrastructure Levy

36 In accordance with London Plan Policy 8.3 '*Community Infrastructure Levy*', the Mayor has agreed a CIL Charging Schedule which came into operation on 1 April 2012. The rate for the City of Westminster is £50 per square metre of additional floorspace.

37 The site is also in the area where Section 106 contributions for Crossrail will be sought in accordance with London Plan Policy 6.5 and the associated Supplementary Planning Guidance. In these situations, the Mayoral CIL will be treated as a credit towards the Section 106 Crossrail liability and this should be reflected in the wording of the Section 106 agreement.

Local planning authority's position

38 The City of Westminster is still assessing the proposals, and is awaiting a response from an independent viability consultant before reporting the case to planning committee.

Legal considerations

39 Under the arrangements set out in Article 4 of the Town and Country Planning (Mayor of London) Order 2008 the Mayor is required to provide the local planning authority with a statement setting out whether he considers that the application complies with the London Plan, and his reasons for taking that view. Unless notified otherwise by the Mayor, the Council must consult the Mayor again under Article 5 of the Order if it subsequently resolves to make a draft decision on the application, in order that the Mayor may decide whether to allow the draft decision to proceed unchanged, or direct the Council under Article 6 of the Order to refuse the application, or issue a direction under Article 7 of the Order that he is to act as the local planning authority for the purpose of determining the application. There is no obligation at this present stage for the Mayor to indicate his intentions regarding a possible direction, and no such decision should be inferred from the Mayor's statement and comments.

Financial considerations

40 There are no financial considerations at this stage.

Conclusion

41 London Plan policies on the Central Activities Zone, employment, urban design and heritage, inclusive access, climate change and transport are relevant to this application. The scheme is not currently compliant with London Plan policy and the following matters should be addressed:

- **Principle of development:** The provision of replacement high quality office floorspace, along with residential units, is supported within the CAZ in line with London Plan Policies 2.10, 2.11 and 4.2.
- **Housing:** The £1.04 million contribution to off-site affordable housing offered falls significantly short of Council policy and the Mayor's draft SPG threshold, and should be increased, in order to comply with London Plan Policy 3.12.
- **Urban design and heritage:** The principle of the demolition of the existing building and the site's redevelopment is supported given the high quality design which would preserve the character of the conservation area and would not harm the setting of listed buildings. Suitable conditions on the design quality should be secured, in order to ensure compliance with London Plan Policies 7.4, 7.6 and 7.8.
- **Inclusive design:** The Council should secure compliance with accessible homes standards by condition, in accordance with London Plan Policy 3.8.
- **Climate change:** The proposals are in overall compliance with London Plan climate change policy. The energy strategy should be secured by condition and a payment in lieu secured through the S106, in accordance with London Plan Policies 5.2, 5.6, 5.7 and 5.9.
- **Transport:** The proposals are generally acceptable in transport terms subject to reconsideration of the proposed off site parking, improved cycle facilities, and S106 contributions totalling £110,000 to extend an existing cycle hire docking station and upgrade three existing bus stops, in line with London Plan Policies 6.7, 6.9 and 6.13.

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